EXECUTIVE REGULATORY COMPLIANCE MEMORANDUM

Ref: REP-40ECDAE2 | Issued: 2026-11-02 20:05:54 UTC | Status: ACTION REQUIRED

Taxpayer Entity:	Test Ventures Ltd	**Entity Type:**	Private Limited
Annual Turnover:	INR 40,000,000	**GST Registered:**	Active / Yes
Issuing Authority:	Ministry of Finance	**Gazette Ref:**	CIRC-2026-GEN

1. Statutory Summary & Scope

Issued by Ministry of Finance. Governs 1 specific statutory rule provisions effective from 01/04/2026.

2. Detailed Regulatory Exposure Matrix

Section	Risk Level	Finding & Operational Impact	Mandatory Directive	Financial Exposure
Section 194R	HIGH	Applies to Test Ventures Ltd for dealer conferences, gifting, and vendor perks exceeding INR 20k.	Ensure accounting ERP flags non-cash benefits and withholds 10% TDS before benefit transfer.	10% TDS + 1.5%/month penalty on failure to withhold

3. Zero-Hallucination Statutory Verification Seal

Verification Status:	PASSED (Passed)	**Hallucination Probability:**	0.0% (Grounding Verified)
Audit Remarks:	All 1/1 extracted statutory rules mapped directly to official statutes. Zero factual hallucination detected.	**Statutory Reference:**	Section 194R: Income-tax Act, 1961 (Inserted via Finance Act, 2022)...